

Uk 1875 Suez Canal Shares Purchase

In November 1875, Prime Minister Benjamin Disraeli learned that the Khedive of Egypt, Isma'il Pasha, needed cash urgently and was prepared to sell his 44% stake in the Suez Canal Company. Parliament was not in session, and there was no time to secure its approval through the normal legislative process. Disraeli borrowed £4 million from the Rothschild banking house — the government's own resources could not move fast enough — and completed the purchase before French buyers or other rivals could act. The transaction gave Britain a decisive voice, though not full control, over the canal linking the Mediterranean to the Red Sea.

The purchase is best understood as an exercise in geopolitical risk management rather than pure finance. The Suez Canal, opened in 1869, cut the sea route to India from roughly three months around the Cape of Good Hope to about three weeks. India was the核心 asset of the British Empire — its markets, its army, its administrative revenue — and any power that controlled the canal could squeeze that route in wartime or through punitive tolls. Disraeli's calculation weighed a large upfront cost and dependence on a foreign banking family against the strategic exposure of leaving that chokepoint entirely in French hands, since the Canal Company was a French-chartered enterprise.

This is a useful case for applying a basic strategic decision framework: identify the chokepoint asset (the canal), the alternative outcomes (British partial ownership versus exclusion), and the cost of inaction (loss of leverage, higher shipping risk, potential French or Ottoman veto power over British trade and troop movements). Students can extend this analysis by asking what Britain actually gained: not operational control of the canal, but a shareholding and diplomatic standing that later justified the 1882 military occupation of Egypt when Egyptian finances collapsed further. The share purchase should therefore be read as the first move in a longer sequence, not a self-contained solution — it converted a financial vulnerability into a political foothold, which Britain would later leverage militarily.

The connection to the Second Reform Act of 1867 is indirect but real: the expanded and more assertive electorate that emerged from that reform sustained a domestic

political climate in which bold imperial gestures — decisive, headline-grabbing, and popular with a broader public — carried real electoral value for a governing party.

200Years 7Powers Ch01 (Level: College · Language: EN · Model: sonnet)

Generated and Powered by [SPL](#)